PUBLIC FINANCE AND SERVICE-DELIVERY TOOLS

BUDGET-TO-BENEFICIARY CHAIN → THE TOOL STACK AND → THE JAM FOUNDATION → SCOPE CARD FOR AUTHENTICATED → RELEASE ARCHITECTURE SUCCESSION → JUST-IN-TIME RELEASE MECHANISM

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure: the grey E card is optional enrichment only and never repairs missing core content.

◆ PRIMARY CORE FLOW ◆ SUBORDINATE EXTRA ◆ APPROVAL / REVIEW

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

Approval: FALSE • Pending user review • source generation g3 and all prior artifacts unchanged

00

STAGE 00 — BUDGET-TO-BENEFICIARY CHAIN

BUDGET-TO-BENEFICIARY CHAIN · 1 BUDGET · APPROPRIATION, SCHEME APPROVAL, OUTLAY; FAILURE · AN UNREALISTIC OUTLAY · 2 RELEASE · UNION TO STATE OR AGENCY, JUST-IN-TIME VIA E-KUBER; FAILURE · DELAY, FLOAT · 3 AGENCY

1 BUDGET — appropriation, scheme approval, outlay; failure: an unrealistic outlay → 2 RELEASE — Union to State or agency, just-in-time via e-Kuber; failure: delay, float → 3 AGENCY — agency receives, incurs and reports; failure: diversion and idle balance → 4 PROCUREMENT — goods, works and services under the rules; failure: specification, cartel → 5 BENEFICIARY — transfer or service delivered; failure: exclusion, last-mile cash access

CORE CLAIM

- 1 BUDGET — appropriation, scheme approval, outlay; failure: an unrealistic outlay
- 2 RELEASE — Union to State or agency, just-in-time via e-Kuber; failure: delay, float
- 3 AGENCY — agency receives, incurs and reports; failure: diversion and idle balance

MECHANISM

- 4 PROCUREMENT — goods, works and services under the rules; failure: specification, cartel
- 5 BENEFICIARY — transfer or service delivered; failure: exclusion, last-mile cash access
- 6 OUTCOME — did the money change anything; failure: outputs counted in place of outcomes

CONSEQUENCE / LIMIT

- MUST REMEMBER: Public finance for service delivery follows need and entitlement,...

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MUST REMEMBER: Public finance for service delivery follows need and entitlement..

01

STAGE 01 — THE TOOL STACK AND THE PROBLEM EACH SOLVES

THE TOOL STACK AND THE PROBLEM EACH SOLVES · THE PRECONDITION · A VERIFIABLE PERSON, A USABLE ACCOUNT, A NOTIFICATION CHANNEL · DIRECT BENEFIT TRANSFER · IDENTITY-BASED LEAKAGE FROM FAKE, DUPLICATE, INELIGIBLE ENTRIES · PUBLIC FINANCIAL MANAGEMENT SYSTEM · DIVERSION AND IDLE BALANCES AT THE AGENCY LEVEL · FLOAT AND ADVANCE PARKING IN THE CENTRALLY SPONSORED SCHEME

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
JAM — the precondition: a verifiable person, a usable account, a notification channel	PUBLIC FINANCIAL MANAGEMENT SYSTEM — diversion and idle balances at the agency level	GENERAL FINANCIAL RULES, 2017 — procedural discipline over sanction and procurement
DIRECT BENEFIT TRANSFER — identity-based leakage from fake, duplicate, ineligible entries	SNA-SPARSH — float and advance parking in the centrally sponsored scheme release chain	JAM — the precondition: a verifiable person, a usable account, a notification channel

CORE CLAIM

- JAM — the precondition: a verifiable person, a usable account, a notification channel
- DIRECT BENEFIT TRANSFER — identity-based leakage from fake, duplicate, ineligible entries

MECHANISM

- PUBLIC FINANCIAL MANAGEMENT SYSTEM — diversion and idle balances at the agency level
- SNA-SPARSH — float and advance parking in the centrally sponsored scheme release chain

CONSEQUENCE / LIMIT

- GENERAL FINANCIAL RULES, 2017 — procedural discipline over sanction and procurement
- JAM — the precondition: a verifiable person, a usable account, a notification channel

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: GENERAL FINANCIAL RULES, 2017 — procedural discipline over sanction and procurement.

02

STAGE 02 — THE JAM FOUNDATION

THE JAM FOUNDATION · JAN DHAN · UNIVERSAL BANK-ACCOUNT ACCESS AS THE DESTINATION OF A TRANSFER · UNIQUE IDENTITY THAT MAKES INDIVIDUAL-LEVEL DE-DUPLICATION POSSIBLE · THE TRANSACTION AND NOTIFICATION CHANNEL THAT CLOSES THE LOOP · AN ACCOUNT THAT EXISTS IS NOT ALWAYS AN ACCOUNT

JAN DHAN — universal bank-account access as the destination of a transfer

AADHAAR — unique identity that makes individual-level de-duplication possible → MOBILE — the transaction and notification channel that closes the loop → LIMIT — an account that exists is not always an account the holder can actually

CORE CLAIM

- JAN DHAN — universal bank-account access as the destination of a transfer
- AADHAAR — unique identity that makes individual-level de-duplication possible

MECHANISM

- MOBILE — the transaction and notification channel that closes the loop
- LIMIT — an account that exists is not always an account the holder can actually use

CONSEQUENCE / LIMIT

- JAN DHAN — universal bank-account access as the destination of a transfer
- AADHAAR — unique identity that makes individual-level de-duplication possible

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT — an account that exists is not always an account the holder can actually use.

03

STAGE 03 — SCOPE CARD FOR AUTHENTICATED TRANSFER

SCOPE CARD FOR AUTHENTICATED TRANSFER · TRANSFERS CREDITED TO AN INDIVIDUAL VERIFIED BENEFICIARY ACCOUNT · IN KIND · BENEFITS DELIVERED THROUGH AUTHENTICATED SYSTEMS RATHER THAN CREDITED · SERVICE ENABLERS · CERTAIN TRANSFERS MADE TO THOSE WHO ENABLE THE SERVICE · SCOPE ERROR · EQUATING THE INSTRUMENT WITH CASH TRANSFER ALONE

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
CASH — transfers credited to an individual verified beneficiary account	SERVICE ENABLERS — certain transfers made to those who enable the service	CASH — transfers credited to an individual verified beneficiary account
IN KIND — benefits delivered through authenticated systems rather than credited	SCOPE ERROR — equating the instrument with cash transfer alone	IN KIND — benefits delivered through authenticated systems rather than credited

CORE CLAIM

- CASH — transfers credited to an individual verified beneficiary account
- IN KIND — benefits delivered through authenticated systems rather than credited

MECHANISM

- SERVICE ENABLERS — certain transfers made to those who enable the service
- SCOPE ERROR — equating the instrument with cash transfer alone

CONSEQUENCE / LIMIT

- CASH — transfers credited to an individual verified beneficiary account
- IN KIND — benefits delivered through authenticated systems rather than credited

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SCOPE ERROR — equating the instrument with cash transfer alone.

04

STAGE 04 — RELEASE ARCHITECTURE SUCCESSION

RELEASE ARCHITECTURE SUCCESSION · SINGLE NODAL AGENCY MODEL · DESIGNATED AGENCY AND ACCOUNT PER SCHEME · 13 JULY 2023 · OFFICE MEMORANDUM NO. 1(27)/PFMS/2020 INTRODUCES SNA-SPARSH · 10 JUNE 2025 OM · THIRTY-SEVEN FURTHER SCHEMES BROUGHT IN FROM 1 JULY 2025 · 1 NOVEMBER 2025

2021 — Single Nodal Agency model: designated agency and account per scheme → 13 JULY 2023 — Office Memorandum No. 1(27)/PFMS/2020 introduces SNA-SPARSH → 10 JUNE 2025 OM — thirty-seven further schemes brought in from 1 July 2025 → 1 NOVEMBER 2025 — applies to all such schemes in States and Union Territories with → BOUNDARY — applicable from is provable; operational in all is not

CORE CLAIM

- 2021 — Single Nodal Agency model: designated agency and account per scheme
- 13 JULY 2023 — Office Memorandum No. 1(27)/PFMS/2020 introduces SNA-SPARSH

MECHANISM

- 10 JUNE 2025 OM — thirty-seven further schemes brought in from 1 July 2025
- 1 NOVEMBER 2025 — applies to all such schemes in States and Union Territories with legislatures

CONSEQUENCE / LIMIT

- BOUNDARY — applicable from is provable; operational in all is not
- 2021 — Single Nodal Agency model: designated agency and account per scheme

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: BOUNDARY — applicable from is provable; operational in all is not.

05

STAGE 05 — JUST-IN-TIME RELEASE MECHANISM

JUST-IN-TIME RELEASE MECHANISM · PUBLIC FINANCIAL MANAGEMENT SYSTEM PLUS STATE IFMIS PLUS RBI · UNION AND STATE SHARES RELEASED TOGETHER AGAINST AN ACTUAL · IDLE FLOAT AND ADVANCE PARKING ARE REMOVED FROM THE · STATE CASH-PLANNING BUFFER IS LOST AND AGENCY RECONCILIATION LOAD · CLOSE DISTINCTION · BUDGET ALLOCATION IS NOT RELEASE, RELEASE IS NOT EXPENDITURE

INTEGRATION — Public Financial Management System plus State IFMIS plus RBI e-Kuber → RULE — Union and State shares released together against an actual expenditure claim → GAIN — idle float and advance parking are removed from the release chain → COST — State cash-planning buffer is lost and agency reconciliation load rises → CLOSE DISTINCTION: Budget allocation is not release, release is not expenditure

CORE CLAIM

- INTEGRATION — Public Financial Management System plus State IFMIS plus RBI e-Kuber
- RULE — Union and State shares released together against an actual expenditure claim

MECHANISM

- GAIN — idle float and advance parking are removed from the release chain
- COST — State cash-planning buffer is lost and agency reconciliation load rises

CONSEQUENCE / LIMIT

- CLOSE DISTINCTION: Budget allocation is not release, release is not expenditure,...
- INTEGRATION — Public Financial Management System plus State IFMIS plus RBI e-Kuber

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: RULE — Union and State shares released together against an actual expenditure claim.

06

STAGE 06 — ERROR MATRIX

ERROR MATRIX · E1 INCLUSION ERROR · AN INELIGIBLE PERSON RECEIVES; CAUSE · FAKE, DUPLICATE, OUTDATED LISTS · E1 INSTRUMENTS · AUTHENTICATION, DE-DUPLICATION, VERIFICATION; COST · RAISES E2 · E2 EXCLUSION ERROR

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
E1 INCLUSION ERROR — an ineligible person receives; cause: fake, duplicate, outdated lists	E2 EXCLUSION ERROR — an eligible person is denied; cause: authentication and seeding failure	E1 INCLUSION ERROR — an ineligible person receives; cause: fake, duplicate, outdated lists
E1 INSTRUMENTS — authentication, de-duplication, verification; cost: raises E2	E2 CORRECTIVES — offline fallback, named exception officer, list revision, timed grievance	E1 INSTRUMENTS — authentication, de-duplication, verification; cost: raises E2

CORE CLAIM

- E1 INCLUSION ERROR — an ineligible person receives; cause: fake, duplicate, outdated lists
- E1 INSTRUMENTS — authentication, de-duplication, verification; cost: raises E2

MECHANISM

- E2 EXCLUSION ERROR — an eligible person is denied; cause: authentication and seeding failure
- E2 CORRECTIVES — offline fallback, named exception officer, list revision, timed grievance

CONSEQUENCE / LIMIT

- E1 INCLUSION ERROR — an ineligible person receives; cause: fake, duplicate, outdated lists
- E1 INSTRUMENTS — authentication, de-duplication, verification; cost: raises E2

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: E2 CORRECTIVES — offline fallback, named exception officer, list revision, timed grievance.

07

STAGE 07 — WHICH ERROR THE STATE CHOOSES TO BEAR

WHICH ERROR THE STATE CHOOSES TO BEAR · A FISCAL COST FALLING ON THE EXCHEQUER AND RECOVERABLE · A SUBSISTENCE COST FALLING ON ONE PERSON IN THE · FOR FOOD, PENSION AND WAGE ENTITLEMENTS THE ASYMMETRY FAVOURS · WORN FINGERPRINTS, ELDERLY USERS AND LOW-CONNECTIVITY AREAS BEAR E2 · ANSWER MOVE · SAY WHICH ERROR THE DESIGN OPTIMISES AGAINST AND WHY

E1 — a fiscal cost falling on the exchequer and recoverable in later years → E2 — a subsistence cost falling on one person in the year the benefit was → FOR FOOD, PENSION AND WAGE ENTITLEMENTS the asymmetry favours tolerating some E1 → INCIDENCE: worn fingerprints, elderly users and low-connectivity areas bear E2 first → ANSWER MOVE — say which error the design optimises against and why

CORE CLAIM

- E1 — a fiscal cost falling on the exchequer and recoverable in later years
- E2 — a subsistence cost falling on one person in the year the benefit was needed

MECHANISM

- FOR FOOD, PENSION AND WAGE ENTITLEMENTS the asymmetry favours tolerating some E1
- INCIDENCE: worn fingerprints, elderly users and low-connectivity areas bear E2 first

CONSEQUENCE / LIMIT

- ANSWER MOVE — say which error the design optimises against and why
- E1 — a fiscal cost falling on the exchequer and recoverable in later years

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ANSWER MOVE — say which error the design optimises against and why.

08

STAGE 08 — THREE FAILURES, THREE INSTRUMENTS

THREE FAILURES, THREE INSTRUMENTS · BENEFIT DIVERTED TO SOMEONE NOT ENTITLED; INSTRUMENT · DE-DUPLICATION, TRACKING · BENEFIT NEVER REACHES AN ELIGIBLE PERSON; INSTRUMENT · FALLBACK AND GRIEVANCE · BENEFIT DELIVERED AT EXCESSIVE COST; INSTRUMENT · PROCUREMENT AND DESIGN · MERGING ALL THREE INTO PLUGGING THE LEAKAGES PRODUCES RECOMMENDATIONS

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
LEAKAGE — benefit diverted to someone not entitled; instrument: de-duplication, tracking	INEFFICIENCY — benefit delivered at excessive cost; instrument: procurement and design	LEAKAGE — benefit diverted to someone not entitled; instrument: de-duplication, tracking
EXCLUSION — benefit never reaches an eligible person; instrument: fallback and grievance	ERROR — merging all three into plugging the leakages produces recommendations that fail	EXCLUSION — benefit never reaches an eligible person; instrument: fallback and grievance

CORE CLAIM

- LEAKAGE — benefit diverted to someone not entitled; instrument: de-duplication, tracking
- EXCLUSION — benefit never reaches an eligible person; instrument: fallback and grievance

MECHANISM

- INEFFICIENCY — benefit delivered at excessive cost; instrument: procurement and design
- ERROR — merging all three into plugging the leakages produces recommendations that fail

CONSEQUENCE / LIMIT

- LEAKAGE — benefit diverted to someone not entitled; instrument: de-duplication, tracking
- EXCLUSION — benefit never reaches an eligible person; instrument: fallback and grievance

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ERROR — merging all three into plugging the leakages produces recommendations that fail.

09

STAGE 09 — PROCUREMENT FAILURE AND INTEGRITY MAP

PROCUREMENT FAILURE AND INTEGRITY MAP · OVER-SPECIFIED OR VENDOR-TAILORED TERMS NARROW THE FIELD BEFORE BIDDING · SINGLE-BID AND LIMITED-COMPETITION OUTCOMES REMOVE THE PRICE DISCIPLINE · LOWEST-COST SELECTION FOR QUALITY-DEPENDENT SERVICES BUYS THE WRONG THING · AFTER AWARD · WEAK CONTRACT MANAGEMENT AND THIN TECHNICAL EVALUATION CAPACITY · DISCLOSURE, DEBARMENT, INDEPENDENT COMPLAINT HANDLING, AUDIT OF THE AWARD · TIGHTER RULES RAISE INTEGRITY, LENGTHEN TIMELINES AND DETER CAPABLE

SPECIFICATION — over-specified or vendor-tailored terms narrow the field before bidding → COMPETITION — single-bid and limited-competition outcomes remove the price discipline → SELECTION — lowest-cost selection for quality-dependent services buys the wrong thing → AFTER AWARD — weak contract management and thin technical evaluation capacity → INTEGRITY — disclosure, debarment, independent complaint handling, audit of the award

CORE CLAIM

- SPECIFICATION — over-specified or vendor-tailored terms narrow the field before bidding
- COMPETITION — single-bid and limited-competition outcomes remove the price discipline

MECHANISM

- SELECTION — lowest-cost selection for quality-dependent services buys the wrong thing
- AFTER AWARD — weak contract management and thin technical evaluation capacity

CONSEQUENCE / LIMIT

- INTEGRITY — disclosure, debarment, independent complaint handling, audit of the award
- TRADE-OFF — tighter rules raise integrity, lengthen timelines and deter capable suppliers

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRADE-OFF — tighter rules raise integrity, lengthen timelines and deter capable suppliers.

10

STAGE 10 — LOCAL-BODY FINANCE THREE-SOURCE TEST

LOCAL-BODY FINANCE THREE-SOURCE TEST · SOURCE 1 · OWN REVENUE RAISED BY THE LOCAL BODY ITSELF · SOURCE 2 · STATE DEVOLUTION ON STATE FINANCE COMMISSION RECOMMENDATIONS · SOURCE 3 · UNION FINANCE COMMISSION GRANTS UNDER ARTICLE 280(3)(BB) AND ARTICLE · DEPENDENCE ON SOURCE THREE ALONE IS SPENDING CAPACITY WITHOUT

SOURCE 1 — own revenue raised by the local body itself

SOURCE 2 — State devolution on State Finance Commission recommendations → SOURCE 3 — Union Finance Commission grants under Article 280(3)(bb) and Article 280(3)(c) → TEST — dependence on source three alone is spending capacity without fiscal autonomy

CORE CLAIM

- SOURCE 1 — own revenue raised by the local body itself
- SOURCE 2 — State devolution on State Finance Commission recommendations

MECHANISM

- SOURCE 3 — Union Finance Commission grants under Article 280(3)(bb) and Article 280(3)(c)
- TEST — dependence on source three alone is spending capacity without fiscal autonomy

CONSEQUENCE / LIMIT

- CONDITION — audited accounts, predictable release, transparent formula, public disclosure
- SOURCE 1 — own revenue raised by the local body itself

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CONDITION — audited accounts, predictable release, transparent formula, public disclosure.

11

STAGE 11 — ANSWER SPINE FOR A FINANCIAL-FLOW DEMAND

ANSWER SPINE FOR A FINANCIAL-FLOW DEMAND · NAME THE STAGE OF THE CHAIN THE STEM OCCUPIES · ASSIGN EACH TOOL ITS OWN PROBLEM, MECHANISM AND LIMITATION · SEPARATE LEAKAGE, EXCLUSION AND INEFFICIENCY AND STATE WHICH ERROR · GRADED VERDICT WITH THE REPORTING-DATE CAVEAT AND NO DASHBOARD · EVIDENCE LIMIT · USE PFMS, DBT, GOVERNMENT E-MARKETPLACE

OPEN — name the stage of the chain the stem occupies and the failure that → BUILD — assign each tool its own problem, mechanism and limitation, never one system → CORRECT — separate leakage, exclusion and inefficiency and state which error is borne → CLOSE — graded verdict with the reporting-date caveat and no dashboard total asserted → EVIDENCE LIMIT: AUTHORITY / IMPLEMENTATION: Use PFMS, DBT, Government e-Marketplace

CORE CLAIM

- OPEN — name the stage of the chain the stem occupies and the failure that belongs to it
- BUILD — assign each tool its own problem, mechanism and limitation, never one system

MECHANISM

- CORRECT — separate leakage, exclusion and inefficiency and state which error is borne
- CLOSE — graded verdict with the reporting-date caveat and no dashboard total asserted

CONSEQUENCE / LIMIT

- EVIDENCE LIMIT: AUTHORITY / IMPLEMENTATION: Use PFMS, DBT, Government e-Marketplace...
- OPEN — name the stage of the chain the stem occupies and the failure that belongs to it

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE — graded verdict with the reporting-date caveat and no dashboard total asserted.

E

EXTRA — SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT · A RIGOROUS CRITIQUE OF DBT "SAVINGS" FIGURES SHOULD NOTE · SNA'S JUST-IN-TIME RELEASE MODEL ILLUSTRATES A RECURRING CENTRE-STATE FISCAL · PFMS'S SCHEME-COVERAGE EXPANSION OVER TIME (FROM A NARROWER INITIAL · THE DBT MISSION COORDINATES POLICY ACROSS MINISTRIES BUT DOES · PFMS HAS PROGRESSIVELY EXPANDED ITS SCHEME COVERAGE AND FUNCTIONAL · THE GENERAL FINANCIAL RULES WERE COMPREHENSIVELY REVISED IN 2017 · THE SNA MODEL, APPLIED PROGRESSIVELY TO MORE CENTRALLY SPONSORED

OPTIONAL SOURCE DEPTH

- CAUTION: A rigorous critique of DBT "savings" figures should note that reported savings
- CAUTION: SNA's just-in-time release model illustrates a recurring Centre-State fiscal
- CAUTION: PFMS's scheme-coverage expansion over time (from a narrower initial set of schemes to a
- The DBT Mission coordinates policy across ministries but does not itself administer

ADVANCED DEBATE

- PFMS has progressively expanded its scheme coverage and functional scope (from fund
- The General Financial Rules were comprehensively revised in 2017, consolidating and
- CAUTION: The SNA model, applied progressively to more centrally sponsored schemes since its
- CAUTION: A PDS or MGNREGA de-duplication exercise removing verified-fake job cards/ration cards

LEGACY / NUANCE

- CAUTION: Boundary case: a genuinely eligible elderly pension beneficiary repeatedly failing
- CAUTION: A state receiving just-in-time SNA-routed funds for a centrally sponsored scheme,
- CAUTION: DBT's de-duplication strength in reducing E1 (inclusion error/leakage) must be weighed
- CAUTION: SNA's just-in-time release improves Union-level fiscal discipline and visibility but

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels